

adopted the normal-stock inventory method, after following a somewhat similar policy in 1933–1935; and for purpose of concrete illustration we supply the relevant data for this company, covering the years 1930–1939, in Appendix Note 49.

Idle-Plant Expense. The cost of carrying nonoperating properties is almost always charged against income. Many statements for 1932 earmarked substantial deductions under this heading.

Examples: Youngstown Sheet and Tube Company reported a charge of \$2,759,000 for “Maintenance Expense, Insurance and Taxes of Plants, Mines, and Other Properties that were Idle.” Stewart Warner Corporation followed the exceptional policy of charging against *surplus* in 1932, instead of income, the sum of \$309,000 for “Depreciation of Plant Facilities not used in current year’s production.” The 1938 report of Botany Worsted Mills contained a charge against income of \$166,732, picturesquely termed “cost of idleness.”

The analyst may properly consider idle-plant expense as belonging to a somewhat different category from ordinary charges against income. In theory, at least, these expenses should be of a temporary and therefore non-recurring type. Presumably the management can terminate these losses at any time by disposing of or abandoning the property. If, for the time being, the company elects to spend money to carry these assets along in the expectation that future value will justify the outlay, it does not seem logical to consider these assets as equivalent to a permanent liability, *i.e.*, as a permanent drag upon the company’s earning power, which makes the stock worth considerably less than it would be if these “assets” did not exist.

Example: The practical implications of this point are illustrated by the case of New York Transit Company, a carrier of oil by pipe line. In 1926, owing to new competitive conditions, it lost all the business formerly carried by its principal line, which thereupon became “idle plant.” The depreciation, taxes and other expenses of this property were so heavy as to absorb the earnings of the company’s other profitable assets (consisting of a smaller pipe line and high-grade-bond investments). This created an apparent net loss and caused the dividend to be passed. The price of the stock accordingly declined to a figure far less than the company’s holdings of cash and marketable securities alone. In this uncritical appraisal by the stock market, the idle asset was considered equivalent to a serious and permanent liability.